

U.S. Digital Asset Policy: Developments in 2026 and Implications for the Zcash Ecosystem

Executive Summary

The first half of 2026 moved U.S. digital asset policy from agenda-setting into implementation. The Trump administration, agencies, and Congress have each taken concrete steps, and the overall direction is more constructive toward digital assets than in prior years. For the Zcash ecosystem the effect is best described as cautiously favorable in principle and uneven in practice. The developments most relevant to Zcash reduce some legacy risks while leaving the issues that matter most for a privacy-preserving network—anti-money-laundering and sanctions exposure and continued caution among banks and intermediaries—largely unresolved.

No single development should be read as decisive with respect to digital asset public policy as the most consequential items are still provisional. The market-structure bill has cleared the Senate Banking Committee but not the full Senate; the SEC–CFTC taxonomy is binding on the agencies today but revisable tomorrow; tax legislation is in early stages in the House Ways and Means Committee; and the May executive order is a policy directive rather than a change in law. The conclusion of the SEC’s inquiry into the Zcash Foundation is a genuine improvement, but it addressed a legacy offerings matter rather than the legality of privacy technology, and it does not resolve the ecosystem’s separate development and governance challenges.

The environment should be viewed as an opening for lawful experimentation and measured planning, rather than as settled certainty. The table below summarizes the developments discussed in this memo and their current status.

Summary of H1 2026 developments

Development	Status as of June 12, 2026	Relevance to the Zcash ecosystem
Executive Order, “Integrating Financial Technology Innovation into Regulatory Frameworks” (May 19, 2026)	Signed; a policy and process directive that creates no enforceable rights and changes no substantive law.	Improves the climate for fintech–bank integration; practical effect depends entirely on agency follow-through.
Digital Asset Market Clarity Act	Passed the House in 2025; advanced from Senate Banking Committee on a 15–9 vote (May 14, 2026); a Senate floor vote remains to be scheduled.	Would anchor mature, non-security assets in a CFTC-led commodity framework. Illicit-finance and developer-protection provisions remain contested.
SEC–CFTC Joint Interpretation and five-part token taxonomy (Mar 17, 2026)	Issued; binding on both agencies, but revisable by future agency action absent legislation.	Reinforces non-security commodity treatment for mature assets and clarifies the status of mining and staking.

Development	Status as of June 12, 2026	Relevance to the Zcash ecosystem
Digital Asset PARITY Act and Ways & Means discussion drafts	PARITY Act introduced May 19, 2026; committee hearing held June 9, 2026; early stage, no full consensus.	Mining rewards tax treatment and de minimis payment relief are directly relevant to ZEC payments.
Treasury (FinCEN / OFAC) AML and sanctions rulemaking tied to GENIUS Act implementation	Proposed during 2026; implementation ongoing.	AML, sanctions, and illicit-finance posture remains the principal source of de-risking pressure for privacy-preserving assets.
Bank-agency GENIUS implementation (OCC , FDIC) and Federal Reserve payment-access review	Proposals issued / evaluation underway during 2026.	Clarifies—rather than broadly expands—bank participation; access to banking rails is likely to remain selective.
SEC closure of the Zcash Foundation inquiry	Disclosed by the ZCash Foundation in January 2026; closed with no enforcement action.	Removes a legacy, offerings-related overhang. It is not a ruling on the legality of privacy technology.

1. Policy Direction Under the Administration

The most important signal at the White House level is one of tone and direction. On May 19, 2026, the President signed an executive order (EO) titled “Integrating Financial Technology Innovation into Regulatory Frameworks,”¹ which directs federal financial regulators to identify and reduce barriers that impede partnerships between non-bank fintech firms and federally regulated institutions, and which asks the Federal Reserve to evaluate access to Reserve Bank payment accounts and services for non-bank and digital-asset firms.

The EO is a high-level policy and process directive. It must be implemented consistent with existing law, it does not create enforceable rights, and it does not itself change any substantive rule. The Federal Reserve is requested—not directed—to act, and consumer-advocacy groups have criticized the EO as deregulatory. For Zcash, the order is modestly helpful because it reduces the stigma historically attached to non-bank innovation and opens space for compliant, privacy-aware integrations to seek corporate and banking partnerships. It does not, however, resolve any Zcash-specific question, and its practical value will depend on how individual regulators follow through over the coming year.

Additionally, the President’s Council on Digital Assets, led by Executive Director Patrick Witt, has focused primarily on market structure negotiations with respect to whether digital asset companies may offer to users as part of their services yield/rewards.

2. Congress: Market Structure and Tax

¹Exec. Order, “Integrating Financial Technology Innovation into Regulatory Frameworks,” The White House (May 19, 2026) (Presidential Actions), <https://www.whitehouse.gov/presidential-actions/2026/05/integrating-financial-technology-innovation-into-regulatory-frameworks/>.

Congress remains the venue for durable policy, and two workstreams matter most for Zcash: market-structure and digital-asset taxation.

Market Structure

The Digital Asset Market Clarity Act (CLARITY Act) passed the House in 2025 and, after almost a year, it advanced out of the Senate Banking Committee on a 15–9 vote on May 14, 2026.² The bill would shift primary oversight of mature, non-security digital assets toward the CFTC under a disclosure-based commodity framework.

The path forward is genuinely uncertain, however. The legislation must still be reconciled with the Senate Agriculture Committee’s version, clear unresolved disputes, most notably developer protections under the Blockchain Regulatory Certainty Act (BRCA); illicit-finance and law-enforcement package; and an ethics provision, and then secure the bipartisan support needed to pass the full Senate. The legislation must also make its way back to the House of Representatives to reconcile differences between each version of the legislation before it can advance to the president’s desk. The administration’s informal target of early July has reportedly slipped toward late summer.³ Two contested elements bear directly on Zcash: the strength of the illicit-finance provisions, and the durability of protections for software developers, an issue active enough that a dedicated advocacy effort has formed around it, including the launch of a PAC centered around defending developers.⁴ Overbroad drafting in either area could create indirect friction for Zcash.

Tax

On the tax side, the bipartisan Digital Asset PARITY Act was introduced on May 19, 2026, and the House Ways and Means Committee held a hearing on a package of digital-asset tax discussion drafts on June 9, 2026.⁵ The PARITY Act would, among other things, applies existing securities-lending tax rules to digital assets so that digital asset lending is not treated as a taxable sale, allows mark-to-market elections, which align tax treatment with established financial market practices, creates a framework for mining rewards that treats rewards as income while allowing taxation deferral, and directs Treasury to study a de minimis threshold for native tokens while establishing interim guidance to provide immediate tax administrative relief. These remain early-stage drafts, and the June 9 hearing showed that the pace and scope are still contested across the aisle.

Two provisions are relevant to Zcash. The de minimis and small-payment relief would reduce the friction that currently makes spending privacy-preserving assets impractical, and the mining-deferral treatment would be favorable for Zcash miners. Regardless of outcome, user

²Digital Asset Market CLARITY Act, H.R. 3633, 119th Cong. (passed the House in 2025), <https://www.congress.gov/bill/119th-congress/house-bill/3633>. The Senate Banking Committee advanced the bill on a 15–9 vote on May 14, 2026. The measure has not passed the full Senate and remains to be reconciled with the Senate Agriculture Committee’s version; illicit-finance and conflict-of-interest provisions are unresolved.

³Alex Thorn, *CLARITY Act: Lowering Our Odds to 60% as the Senate Calendar Tightens* (June 5, 2026) Galaxy, <https://www.galaxy.com/insights/research/clarity-act-passage-odds-60-percent-senate-calendar-june-2026>.

⁴Defend Developers PAC Launches to Champion American Crypto Builders (June 3, 2026), <https://defenddeveloperspac.org/blog-ddpac-launch>

⁵Digital Asset PARITY Act, introduced May 19, 2026 (Reps. Miller (R-OH) & Horsford (D-NV)); H. Comm. on Ways & Means, hearing on digital-asset tax discussion drafts (June 9, 2026), <https://d12t4t5x3vyizu.cloudfront.net/maxmiller.house.gov/uploads/2026/05/Miller-PARITY-Act.pdf>.

reporting, basis tracking, and transaction documentation will still be required for any business building around Zcash.

3. The Agencies

SEC and CFTC

The most substantive agency development of the half-year was the SEC and CFTC's move from enforcement toward formal guidance. Following the January 2026 expansion of "Project Crypto" into a joint effort,⁶ the two agencies issued a joint interpretation on March 17, 2026⁷ establishing a five-part taxonomy that sorts crypto assets into digital commodities, digital collectibles, digital tools, stablecoins, and digital securities, and naming a set of mature assets as digital commodities. The interpretation also clarified the treatment of protocol mining and staking.

For Zcash, the immediate benefit is clarity rather than special treatment. The interpretation reinforces a commodity-style framework for mature, non-security assets and reduces the chance that classification is settled through ad hoc enforcement. Two caveats are worth keeping in view for an executive audience: the interpretation is binding on the agencies now but could be modified by a future administration unless codified by legislation and neither agency is treating privacy as an affirmative policy priority. Zcash must still satisfy ordinary listing, custody, disclosure, and market-integrity expectations.

Treasury, FinCEN, and OFAC

Treasury remains the principal source of risk for privacy-preserving assets because it owns the AML, sanctions, and illicit-finance framework. During the past six months, Treasury's financial-crime and sanctions units have moved to implement compliance requirements under the GENIUS Act⁸ for permitted payment stablecoin issuers.⁹ The recurring policy message—that digital assets serve legitimate uses but are also used by illicit actors, and that AML and sanctions obligations apply regardless of whether value moves in tokens or fiat—is not anti-Zcash on its face. It is, however, the policy setting most likely to produce de-risking by intermediaries. When privacy is conflated with suspicion, exchanges, custodians, and payment companies tend to respond by limiting support or adding friction that ordinary users experience as exclusion. This dynamic persists notwithstanding the administration's stated opposition to debanking, and it is a risk vector that must be watched closely.

Federal Reserve, OCC, FDIC, and CFPB

⁶SEC & CFTC, joint "Project Crypto" announcement (Jan. 29–30, 2026), expanding the SEC's earlier initiative into a joint inter-agency effort.

⁷SEC & CFTC, Joint Interpretation on the application of the federal securities laws to certain crypto assets (Mar. 17, 2026); see SEC Press Release No. 2026-30. The interpretation establishes five categories—digital commodities, digital collectibles, digital tools, stablecoins, and digital securities—and is binding on both agencies, though revisable by future agency action absent legislation. Both chairs have called on Congress to codify the framework.

⁸Guiding and Establishing National Innovation for U.S. Stablecoins (GENIUS) Act, S. 1582, 119th Cong. (enacted July 18, 2025).

⁹Dep't of the Treasury, FinCEN & OFAC, proposed rulemaking establishing AML/CFT and sanctions-program requirements for permitted payment stablecoin issuers under the GENIUS Act (2026).

The banking agencies matter less through any single headline rule than through the access layer they govern—custody, settlement, fiat on-ramps, and the willingness of banks to serve digital-asset businesses. During 2026 the OCC and FDIC advanced proposals implementing the GENIUS Act for stablecoin-related activity, and the Federal Reserve is evaluating access to Reserve Bank payment accounts for non-bank firms.¹⁰ The way to read these developments is that these agencies are clarifying the process rather than banning the activity while keeping a conservative supervisory baseline. The likely result is selective bank participation rather than broad enthusiasm.

The CFPB adds a second dimension. Consumer-protection scrutiny of digital payments and data use can support arguments for user privacy, but it can equally intensify oversight of product design, disclosures, and consent. For companies building Zcash-related products, the operational implication, that compliance-by-design matters, is consistent across all of these agencies. Expect continued attention to onboarding, transaction monitoring, sanctions screening, tax reporting, and consumer disclosures.

4. The SEC’s Closure of the Zcash Foundation Inquiry

Because it is the most Zcash-specific development of the half-year, it warrants discussion. In January 2026 the Zcash Foundation disclosed that the SEC had closed an inquiry, opened by subpoena in August 2023, with no enforcement action, fines, or required operational changes.¹¹ The following two points should be flagged so that ecosystem participants do not over-or-underestimate the impact:

- 1. The SEC’s inquiry concerned crypto-asset offerings and the Zcash Foundation’s funding and governance, not the legality of Zcash’s privacy technology. The closure removes a multi-year legacy overhang, but it is not an affirmative endorsement of shielded transactions, and the broader AML and sanctions questions around privacy features remain a separate, live matter.
- 2. The investigation closure was reported by the Foundation; the SEC did not issue a public statement. That is normal practice, but it means the development is best characterized as the resolution of an inquiry rather than a formal agency pronouncement on Zcash.

Read together with the SEC–CFTC taxonomy and the pending tax provisions on mining and de minimis thresholds, the closure modestly improves the runway for the ZCash Foundation’s development roadmap. Care must be taken to avoid characterizing that runway as fully clear, since the supporting agency interpretations are revisable and the relevant legislation is not enacted.

5. What This Means for the Zcash Ecosystem

¹⁰See OCC and FDIC proposals implementing the GENIUS Act for stablecoin-related activity (2026); Federal Reserve evaluation of access to Reserve Bank payment accounts and services for non-bank firms, undertaken in connection with the May 19, 2026 executive order (*supra* note 1).

¹¹Zcash Foundation, public disclosure of the closure of the SEC inquiry (Jan. 2026); see Zcash Foundation, Q1 2026 Report. Per the Foundation, the inquiry was opened by an SEC subpoena dated Aug. 31, 2023 and was concluded with no enforcement action; the SEC did not issue a public statement regarding the closure.

The favorable side is straightforward. Digital-asset policy is no longer organized around the premise that innovation must yield to enforcement. That is a real improvement for developers, infrastructure providers, wallet providers, and merchant-integration efforts acting in good faith.

The harder side is specific. Zcash's privacy model remains exposed to spillover from AML and sanctions debates. Even where the protocol is not the target, intermediaries may restrict access if they view privacy features as raising examination or other risks. That exposure is highest at centralized access points—exchanges, custodians, payment processors, and banking partners—and lower, though not absent, for developers building compliant tools around the network. The practical posture is to treat policy as a product constraint. This means planning for documentation, clear risk explanations, user education, and jurisdiction-specific operating models, and resisting the assumption that a favorable headline on digital assets automatically extends to privacy-preserving assets.

6. Risks, Caveats, and Open Questions

The principal risks are predictable: regulatory overlap, banking de-risking, tax-reporting complexity, and continued suspicion of privacy-enhancing features. A secondary risk is that Congress or the agencies settle on a framework that is technology-neutral on paper but operationally hostile to privacy-preserving networks in practice—an outcome that would not require an explicit ban, only accumulated compliance burdens and cautious intermediaries.

The central open question is whether policymakers can distinguish legitimate privacy from illicit opacity. If they can, Zcash has a credible path to durable ecosystem growth. If they cannot, the network may remain technically lawful but commercially constrained. The other open variables are timing variables: whether the CLARITY Act passes on the Senate floor this year and in what form, whether the tax drafts consolidate into a workable package, and how Treasury's AML and sanctions implementation treats shielded activity.

Conclusion

The federal environment is better for digital-asset innovation than it was under the Biden administration, but a friendlier tone is not the same as settled legal certainty. The developments that matter most for Zcash are the ones that reduce arbitrary enforcement risk, improve market-structure clarity, and preserve lawful access to financial infrastructure. The continuing challenge is the treatment of privacy as a compliance problem; that is the issue to watch most closely.

Recommendations

The following recommendations translate the analysis above into concrete steps for the ecosystem. They are grouped by audience and prioritize actions that remain useful across a range of policy outcomes rather than wagers on any single result. Within each group, items are ordered roughly by time-sensitivity.

For developers and technical teams

- Document how shielded transactions, viewing keys, and selective disclosure work, in a form usable by partners' compliance and risk teams, so that privacy can be explained as a lawful, auditable feature rather than an unknown.
- Keeping basis-tracking, transaction-documentation, and reporting tooling aligned with emerging tax requirements, including Form 1099-DA and any rules that follow the Ways and Means drafts.

For businesses, exchanges, custodians, and payment partners

- Prepare a concise compliance package for counterparties covering onboarding, transaction monitoring, sanctions screening, and the selective-disclosure workflow, so that diligence questions can be answered quickly and consistently.
- Monitor exchange listing reviews and maintain contingency plans for liquidity and access disruptions tied to digital asset privacy-related policy, particularly in jurisdictions where restrictions are tightening.

For public-policy engagement

- Engage through submitting feedback into the legislative records where the ecosystem has a concrete stake—most immediately the House Ways and Means tax record (submissions due June 23, 2026)—and weigh in on the CLARITY Act's illicit-finance and developer-protection provisions, including the BRCA, emphasizing the distinction between legitimate privacy and illicit opacity.
- Support developer-protection efforts, including coalitions and aligned messaging, to reduce the risk that software developers are treated as money transmitters.
- Engage constructively with Treasury, FinCEN, and OFAC on AML and sanctions implementation, offering technical input on how shielded transactions can be supervised at on-and-off ramps without categorically excluding privacy-preserving assets.
- Maintain relationships with the bank regulators and the President's Council on Digital Assets as market-structure and illicit finance questions are negotiated, so that privacy-preserving use cases are represented.

In the near term, the highest-leverage actions are engaging with Congress and the administration on developer protections, market structure, and illicit finance. Each converts a current policy opening into a durable ecosystem benefit.